KENINGFORD PARTNERS

CAPITAL ADVISORY

FOUNDER RESOURCE

Due Diligence Checklist

A practical checklist for founders preparing financial, commercial, and legal diligence ahead of a capital raise or sale process.

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Due diligence is where processes are won or lost. Investors rarely walk away because a business has risks; they walk away because risks surface late, undocumented, or contradicted by earlier claims. This checklist organizes the preparation work into the same workstreams institutional investors use, so that the data room answers questions before they are asked.

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How to Use This Checklist

Work through each section before launch, not during the process. Assign a single internal owner per workstream, date-stamp every document, and flag anything that cannot be produced within 48 hours. A gap identified four weeks before launch is a preparation item; the same gap identified during exclusivity is a re-trade.

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Financial

The financial workstream carries the most weight and attracts the earliest scrutiny. Investors will rebuild your numbers independently; your job is to make their rebuild match yours.

- Audited or reviewed financial statements for the last three fiscal years, with auditor letters and any restatements explained.
- Monthly management accounts for the trailing twenty-four months, reconciled to the audited statements.
- Revenue bridge by customer, product, and geography, tying opening to closing revenue for each period.
- Customer cohort analysis showing retention, expansion, and payback by acquisition vintage.
- Normalized EBITDA schedule with every adjustment documented and defensible.
- Working capital analysis covering seasonality, receivable aging, and any customer prepayment dynamics.
- Thirteen-week cash flow forecast and monthly runway model under base and downside cases.

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Commercial

Commercial diligence tests whether the growth story survives contact with the customer base. Expect investors to call customers directly.

- Complete customer list with revenue concentration analysis; be ready to discuss any customer above ten percent of revenue.
- Pipeline and backlog summary with historical conversion rates by stage, not just current pipeline value.
- Pricing history, discounting practices, and any most-favored-nation commitments.
- Churn and retention metrics, gross and net, defined consistently with the metrics in your deck.
- Competitive landscape overview with honest win/loss data and named competitors.
- Contracted versus non-contracted revenue split, with renewal schedules for the top twenty accounts.

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Legal and Corporate

Legal diligence rarely creates value but frequently destroys timelines. Clean documentation is the cheapest acceleration available.

- Capitalization table with full option pool detail, vesting schedules, and any outstanding warrants or convertible instruments.
- Preference stack summary showing liquidation waterfall under at least three exit scenarios.
- Material contracts flagged for change-of-control, exclusivity, and assignment provisions.
- Intellectual property ownership documentation, including assignment agreements from every founder, employee, and contractor who touched core IP.
- Litigation history and any pending or threatened claims, however immaterial they appear.
- Regulatory licenses, data protection compliance posture, and any open correspondence with regulators.

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Tax and Regulatory

- Corporate structure chart with tax residency of every entity.
- Transfer pricing documentation for any intercompany arrangements.
- Open tax years, ongoing audits, and any positions taken that a buyer's advisor might challenge.
- Sales tax, VAT, and payroll tax compliance across every jurisdiction with employees or revenue.

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Operations and HR

- Organization chart with tenure, compensation bands, and identified key-person dependencies.
- Employment agreements for the leadership team, including non-compete and IP assignment terms.
- Option grants reconciled to board approvals; unapproved grants are a recurring closing-delay item.
- Key supplier and vendor agreements with concentration analysis mirroring the customer view.

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Common Gaps That Stall Processes

In our experience the same five gaps account for most diligence delays: unreconciled management accounts, undocumented EBITDA adjustments, missing IP assignments from early contractors, option grants without board approvals, and customer contracts missing signatures. Every one of them is inexpensive to fix before launch and expensive to fix during exclusivity.

NEXT STEP

Put this to work with our team

This resource is part of the Keningford Partners founder toolkit. If you are preparing for a capital raise, sale process, or board decision, our team will review your materials against this framework and tell you where the gaps are, at no cost.

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